It is time the government expeditiously exits areas where the private sector has already acquired more than 75 per cent market share (e.g., airlines, telecom) and plans a phased exit (may be over the next five to seven years) from businesses where the private sector has crossed or is steadily moving towards acquiring a 50 per cent market share (general insurance, banks), desisting from investing fresh capital in any such enterprise in the meantime.

The Budget proposals of investing Rs 45,000 crore in the equity of these enterprises appeared unlikely to give any noteworthy boost to growth.

The Centre Played Miser for Growth Expenditures after COVID-19 Struck

There were three main planks of the Centre's expenditure strategy after COVID-19 and the lockdown.

First, the government decided to offer food and cash assistance to the poor and most vulnerable. This strategic choice was reflected in the composition of the Garib Kalyan package announced by the finance minister on 26 March 2020, with 5 kg of free cereal and 1 kg of free pulses to all ration card holders (later extended to the migrant population without ration cards), free gas cylinder to the beneficiaries of the Ujjwala LPG scheme and Rs 500 in cash assistance per month to all Jan Dhan account holders. The package will cost the government about Rs 80,000 crore in additional expenditures for financial year 2020–21.

Second, the government undertook no fiscal-financed supply side or demand-side growth stimulus package in the first sixth months. The Atmanirbhar Bharat package announced in May 2020 reflected this grim reality. The principal component of this package was a credit provision to small businesses through banks that were directed to provide 'additional' credit of Rs 3 lakh crore to MSMEs, supported by a government guarantee. The government relied on RBI to do the heavy lifting by providing